KEY BENEFIT ADMINISTRATORS

OPPORTUNITY REVIEW

DIRECT-TO-EMPLOYER GTM STRATEGY

Exploring an Orlando Health DTE Health Plan

KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
    - 3,000+ Corporate Clients
    - 3 Million Members under Management
    - 700 Employees

Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

MARKET LEADER IN PRIVATE LABELED DTE PLANS

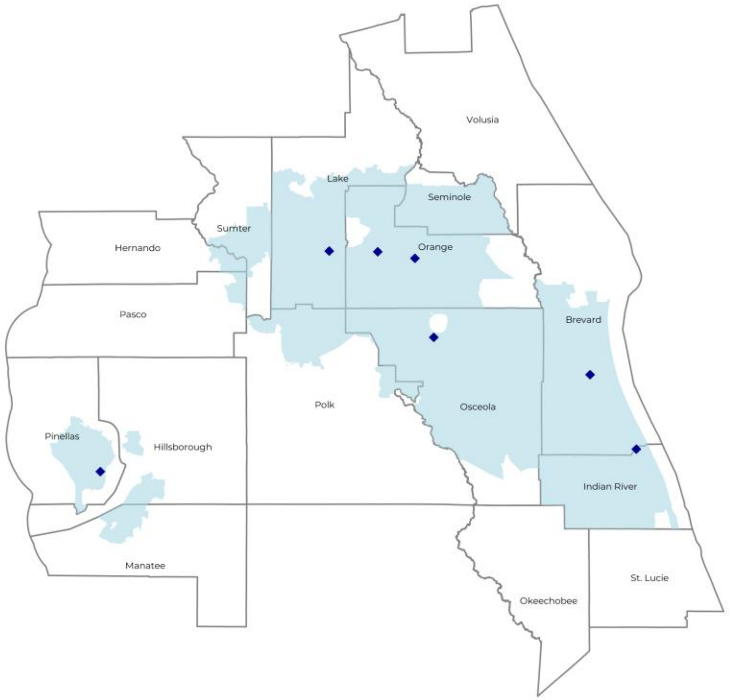
KEY BENEFIT ADMINISTRATORS

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

Target Market

4,500+ Employers → 1.3M+ Employees → 2.4M+ Members



	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	**50-100**	**101-200**	**201-400**	**401-1,000**	**1,001-3,000**	**3,000+**
	2,541	1,054	643	63	376	91
Total Employees at Employers Headquartered in Catchment Area	**50-100**	**101-200**	**201-400**	**401-1,000**	**1,001-3,000**	**3,000+**
	190,600	158,100	192,900	44,100	752,000	546,000
Total Members with Employers Headquartered in Catchment Area	**50-100**	**101-200**	**201-400**	**401-1,000**	**1,001-3,000**	**3,000+**
	343,100	284,600	347,200	79,400	1,353,600	982,800

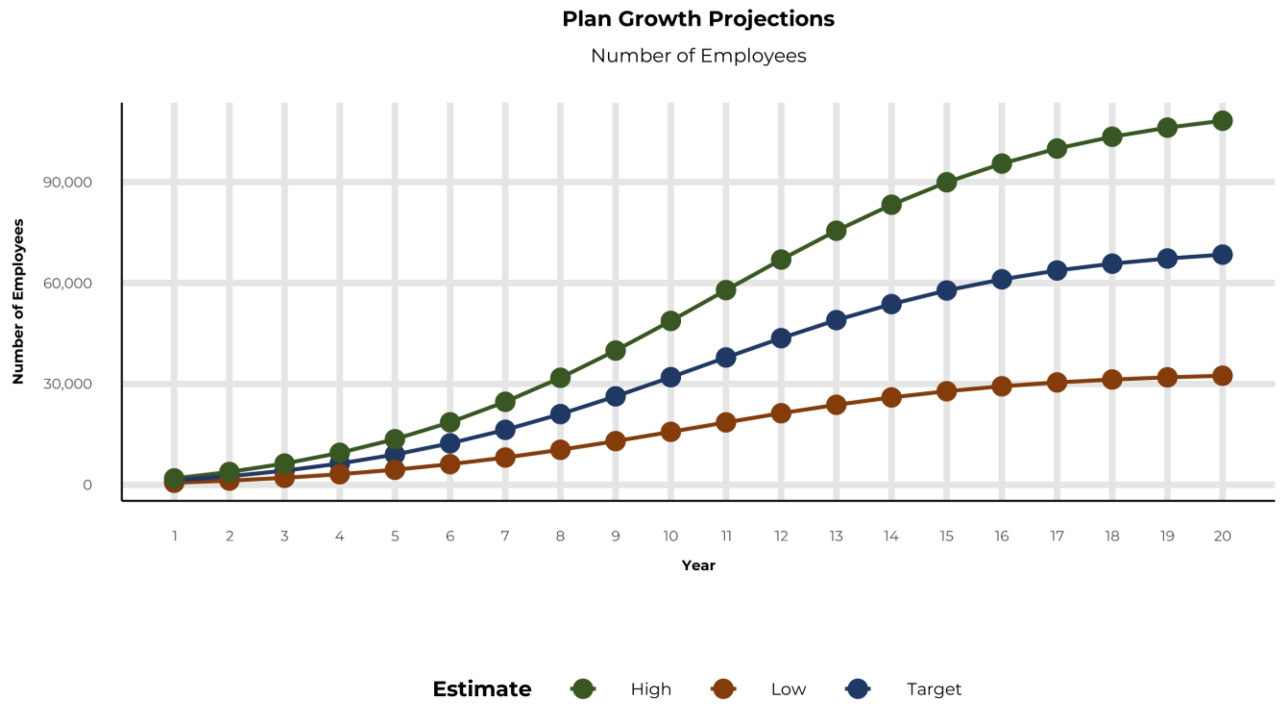
PLAN POTENTIAL GROWTH PATHS

Self Funded 938K

Insured 1,549K

Working Age 2,253K

Population 3,774K



Estimates includes the Orlando Health service area in Brevard, Hillsborough, Indian River, Lake, Manatee, Orange, Osceola, Pinellas, Polk, Seminole, and Sumter Counties

KEY BENEFIT ADMINISTRATORS

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **$33.84M**

New Profit: **$6.16M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **$201.55M**

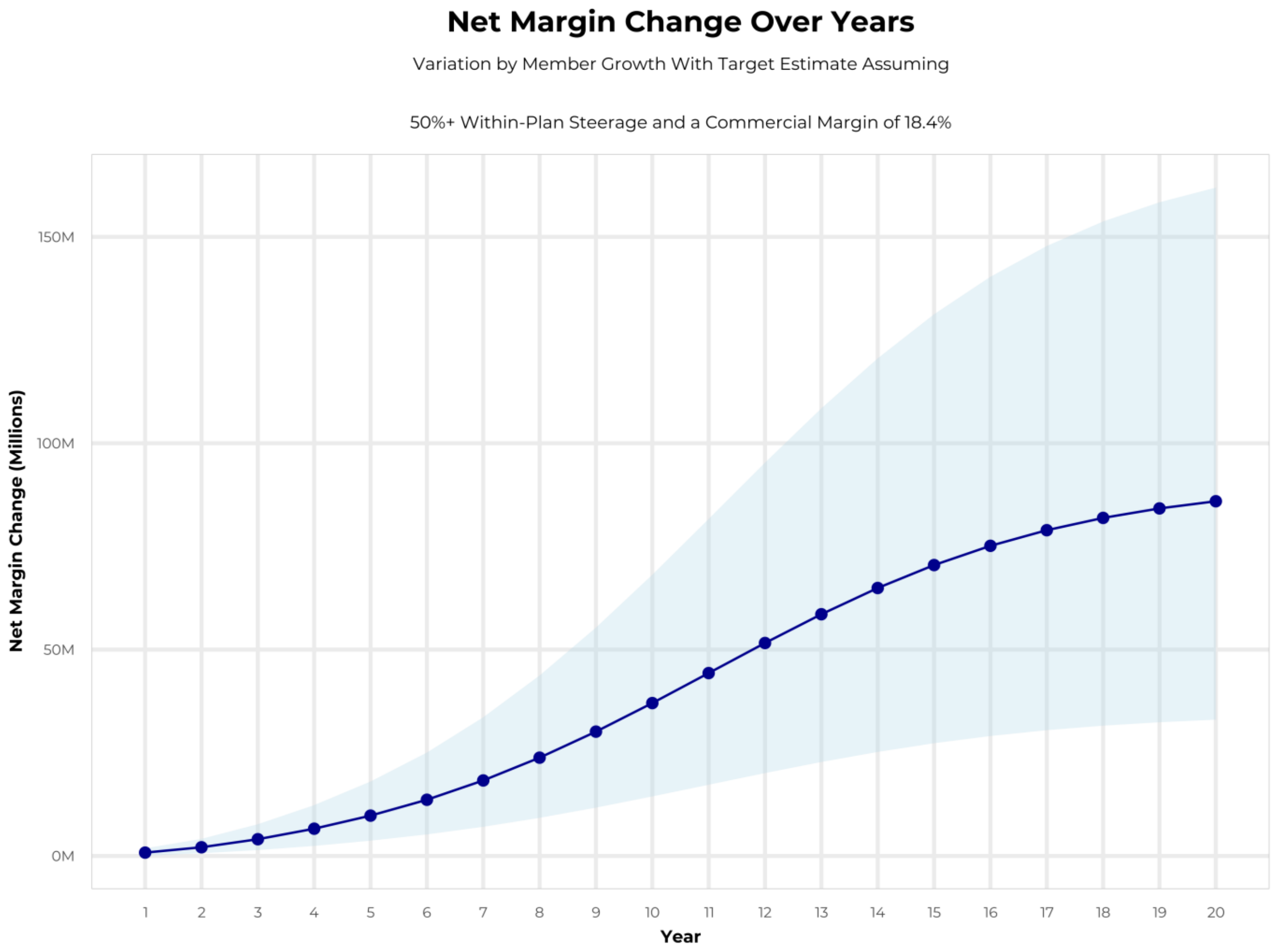
New Profit: **$37.68M**

Mature Stage

High Profitability, Market Saturation

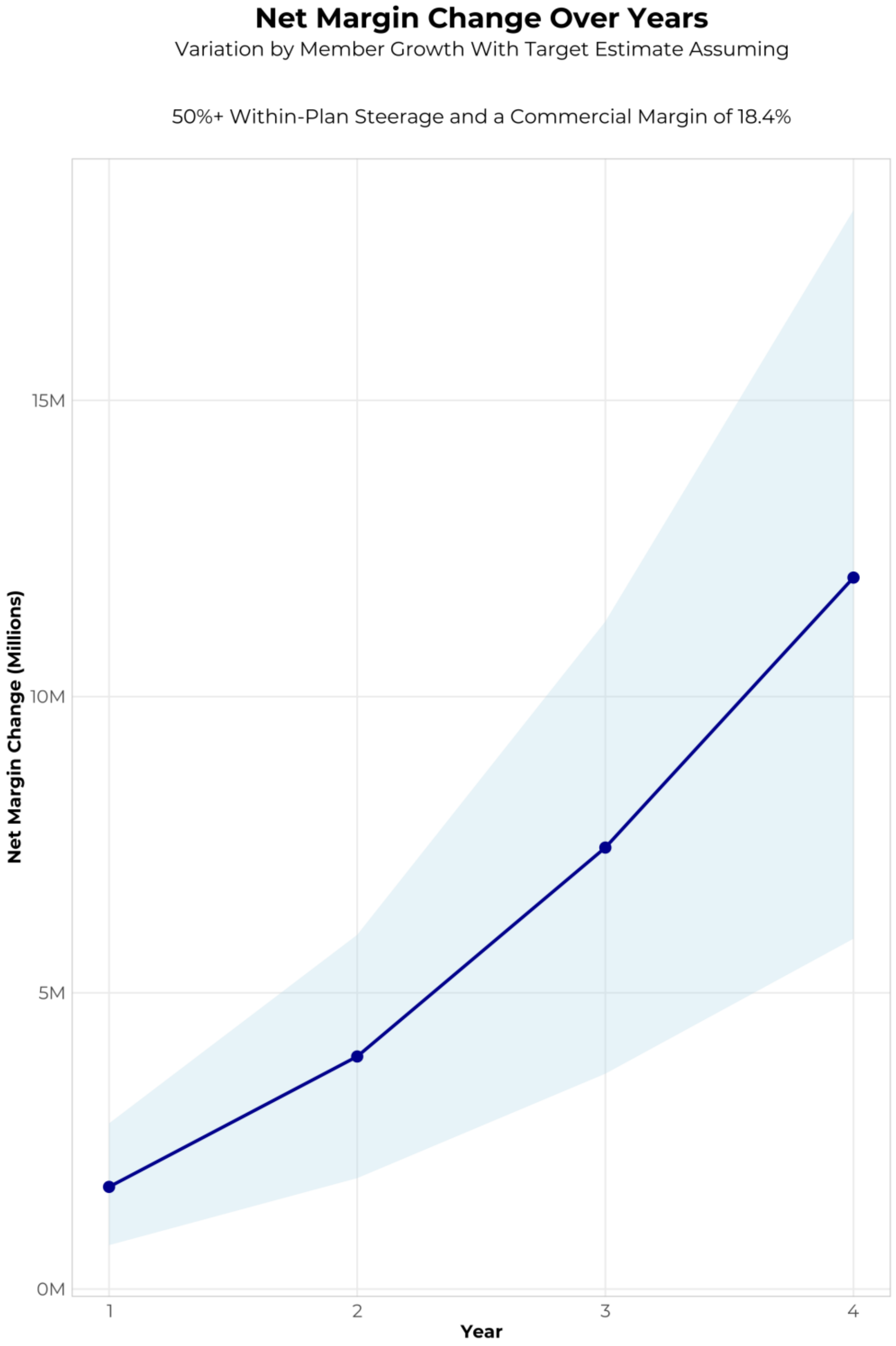
New Revenue: **$413.29M**

New Profit: **$77.37M**



KEY BENEFIT ADMINISTRATORS

FOUR-YEAR PROJECTIONS



Target Member Growth				
Metric	**Year 1**	**Year 2**	**Year 3**	**Year 4**
Number of Members	2,300	4,600	7,600	11,400
Incremental Margin	2,026.1K	4,050.0K	7,540.5K	12,052.3K
Network Access Fee	27.6K	55.2K	91.2K	136.8K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**1,723.7K**	**3,925.2K**	**7,451.7K**	**12,009.1K**

High Member Growth				
Metric	**Year 1**	**Year 2**	**Year 3**	**Year 4**
Number of Members	3,500	6,900	11,400	17,200
Incremental Margin	3,083.2K	6,075.0K	11,310.7K	18,184.2K
Network Access Fee	42.0K	82.8K	136.8K	206.4K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**2,795.2K**	**5,977.8K**	**11,267.5K**	**18,210.6K**

Low Member Growth				
Metric	**Year 1**	**Year 2**	**Year 3**	**Year 4**
Number of Members	1,200	2,300	3,800	5,700
Incremental Margin	1,057.1K	2,025.0K	3,770.2K	6,026.2K
Network Access Fee	14.4K	27.6K	45.6K	68.4K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**741.5K**	**1,872.6K**	**3,635.8K**	**5,914.6K**

DIRECT-TO-EMPLOYER STRATEGY:

ONLY AVAILABLE TO *PREMIER* HEALTH SYSTEMS

ORLANDO HEALTH®

STRONG Brand Quality

EXTENSIVE Patient Access

AFFORDABLE Value Pricing

EXCELLENT Care Quality

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing Orlando Health for Inpatient Care	Percent of Members Choosing Orlando Health for Outpatient Care
1	1,300	2,300	60%	50%
2	2,600	4,700	60%	50%
3	4,200	7,600	65%	55%
4	6,300	11,300	67%	58%
5	9,000	16,200	68%	60%
6	12,400	22,300	68%	60%
7	16,400	29,500	69%	61%
8	21,000	37,800	69%	62%
9	26,300	47,300	69%	62%
10	32,000	57,600	70%	63%
11	37,900	68,200	70%	63%
12	43,600	78,500	70%	64%
13	49,000	88,200	71%	64%
14	53,700	96,700	71%	65%
15	57,800	104,000	71%	66%
16	61,100	110,000	72%	66%
17	63,700	114,700	72%	66%
18	65,700	118,300	72%	67%
19	67,300	121,100	72%	67%
20	68,400	123,100	72%	67%

KBA currently estimates that Orlando Health has 24% inpatient market share, and 12% outpatient market compared to hospitals/clinics in the Orlando Health service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Orlando Health.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 11,400 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	$ 9,154,722	$ 8,174,712	$ 3,817,521	$ 21,146,955
Net Income‡	$ 1,684,469	$ 1,504,147	$ 702,423.9	$ 3,891,040

With DTE	Inpatient	Outpatient	Professional	Total
Revenue⁰	$ 26,029,332	$ 40,815,408	$ 19,060,449	$ 85,905,188
Net Income*	$ 4,789,397	$ 7,510,035	$ 3,507,123	$ 15,806,555

Total Increase in Net Income	$ 11,915,515
Network Access Fee (Revenue) of $1 PMPM	$ 136,800
Total Profit Growth	$ 12,052,315
Minus Implementation Fee (One-Time)	-$ 0
Minus Sales and Marketing (Annual – Ongoing)	-$ 180,000
Total	**$ 11,872,315**

† Assuming proportional revenues from market shares of 24% (inpatient) and 12% (outpatient)

‡ Conservatively assuming a commercial margin of 18.4% (80% of the estimated commercial margin)

⁰ Assuming 67% inpatient and 58% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 18.4%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

KEY BENEFIT ADMINISTRATORS

A PARTNER YOU CAN TRUST

OUR OBJECTIVES ARE ALIGNED

WE KNOW THE MARKET

COMPLETELY TRANSPARENT

WE HAVE THE SOPHISTICATION AND INFRASTRUCTURE TO EFFECTIVELY COMPETE

KEY BENEFIT
ADMINISTRATORS

Derek Moore, Senior Vice President – KBA
845-283-9973 * derek.moore@keybenefit.com